# Economic Implications of Rising Military Burdens:

# An Outlook for Asia-Pacific Countries

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## Introduction

**The relationship between security and economic development is one of the most important policy questions ESCAP governments are facing today.** Since the end of the Cold War, the region experienced a prolonged period of relative peace. The decline of military burden, meaning military expenditures as percentage of GDP, freed fiscal resources for the investments that allowed Asia's exceptional growth. However, since 2014, the intensification of territorial disputes in the South China Sea, renewed tensions on the Korean Peninsula, Russia's invasion of Ukraine, US-China rivalries, Myanmar's civil war, raising tensions between India and Pakistan, Pakistan and Afghanistan and the ongoing conflict in Iran, peace within the region has been disturbed. Thus, military burdens experienced ripple effect and spiraled upward, being part of the aggregate military spendings continuous increases since 1989 documented in the UN SG Report, 2024. The economic gains of decades of relative peace, the so-called peace dividend, are at risk of being eroded precisely the moment the region faces new development and demographic challenges (ESCAP, 2026).

**For more than thirty years, peace dividends materialized in the Asia-Pacific region, allowing for its significant development.** The opportunity cost of war, trade disruptions and sanctions, reduced investments and the reduction of fiscal space, have historically been a powerful deterrent to conflict in the region. Indeed, the prospect of economic growth through openness drove East Asia toward peace after 1979[1]. For example, China's post-cultural revolution reforms, Viet Nam's Doi Moi and Soviet Union's perestroika all reflect a turn toward development rather than confrontation (Tønnesson, 2015). This peace enabled a reallocation of public resources away from defense toward productive investment in infrastructure, human capital, and industrialization. Japan's experience is emblematic: by capping defense spending at 1% of GDP and benefiting from the United States' security umbrella, it channeled newly available fiscal resources into the industrial and technological investments that sustained its postwar growth miracle (SIPRI, 2023; Hook et al, 2011). This dynamic extended broadly worldwide. Mayberry (2023) produced a global analysis supporting the peace dividend hypothesis on economic growth. This economic logic, peace allowing for greater growth, is also supported by an IMF (2024) costs-benefits analysis: every dollar invested in conflict prevention can save up to 103 dollars in conflict-related costs.

**Defense expenditures affect development through multiple, and sometimes opposing, transmission channels, making their net impact a central empirical question.** On one hand, military spending can crowd out productive investment in infrastructure, human capital, accumulate public debt in fiscally constrained economies, or deter foreign direct investment by signaling instability. On the other hand, it

[1] Last interstate war between China and Viet Nam in 1979.

can stimulate domestic demand, generate technological spillovers from military to civilian industry or lead to export revenues for producing countries. The UN SG Report (2024) underscores the urgency of this question: global military expenditure reached USD 2.7 trillion in 2024, while the annual financing gap for the SDG stands at USD 4 trillion. This illustrates the peace and stability needed to concentrate on economic development and achieve UN's SDGs (Dutt, 2024).

**This policy paper examines the dynamics between military burden and economic growth in the Asia-Pacific region through three complementary lenses.** The first part reviews the academic literature on the relationship between military spending and economic growth. The second documents the Asia-Pacific region's relative peace since 1990, the benefits of the subsequent peace dividends and their erosion since 2014. The third section explores the heterogeneity of the relationship between military burden and economic growth through an econometric analysis of ESCAP member states. Finally, the last part draws policy recommendations from the previous results.

## 1. What the Literature Tells Us: Military Spending and Economic Growth

**The literature on military spending and economic growth delivers no clear verdict: the sign, magnitude, and direction of the effect all depend on transmission channels, spending composition, and national context.** Several meta-analyses compiled decades of empirical work and showed that positive, negative, and null results coexist across studies. However, a recent shift toward a more negative effect seems to appear in the last years, especially when looking at the post-Cold war period. In this literature, military spending affects negatively growth through four main channels: crowding-out of productive investment, displacement of social expenditure, inflationary pressure and FDI deterrence. Some studies, concentrated on high-income arms-exporting economies and conflict-affected countries, identify positive effects through demand stimulus and defense-to-civilian knowledge spillovers. Yet, a growing majority find net negative effects, mainly driven by the crowding-out of productive investment, hidden unemployment and higher debt level. Therefore, the sign and magnitude of the effect seem to be conditional on spending composition, financing mechanisms, national industry structure and alliance membership. Together, these findings suggest that drawing uniform policy conclusions can be misleading: what holds for an arms exporter country tells us little about a developing net importer facing fiscal constraints.

### 1.1 Higher military expenditure leads to economic growth

**The earliest argument for a positive relationship between military spending and economic growth emerged during the Cold War (Benoit, 1978).** This finding leads to a large empirical literature and explores three main theoretical channels through which military spending might stimulate growth. First, the increase in military spending leads to higher aggregate demand which, under conditions of spare capacity, generates a multiplier effect, on average close to one (IMF, 2026). For example, an increase in military personnel would lead to higher demand for military equipment, weapons, vehicles and bases. As domestic businesses move to meet this demand, unemployment falls, profits rise and government tax revenues increase, more than offsetting the initial public spending and resulting in a higher overall GDP. This Keynesian demand channel has been observed in India, which launched the 2014 "Make in India initiative", aiming to manufacture defense equipment domestically to take advantage of this channel. However, its efficiency is greatly heterogenous among different economies, being especially conditional on whether or not the government uses the domestic industry to fulfil public contracts.

Therefore, literature documented positive effects in some developed countries until 1990 (Alptekin and Levine, 2012). These countries often benefit from an important industrial-military complex and capital-intensive armies, countries whose military budgets are spent primarily on equipment and technology rather than salaries, allowing them to transform these spendings into R&D spillovers. Thus, the R&D spillover channel has received the most rigorous recent empirical support. For example, a 10% increase in public military R&D generates a 4.3% increase in private R&D, with confirmed international spillovers depending on military alliances structure (Moretti et al., 2025, Dimitriou et al., 2024).

This crowding-in effect, defense spendings attracting rather than displacing productive investments, requires a developed civilian innovation ecosystem capable of absorbing and commercializing defense-generated knowledge. For example, a strong private sector was capable of turning defense technologies as GPS or the internet, both originally developed for military purposes, into commercial products. Moreover, such industry can benefit of economy of scale as producing 1,000 fighter jets is cheaper per unit than producing 10.

Another positive, or at least mitigation, channel would be through arms exports. Indeed, when geopolitical rivalry increases, arms exporters countries tend to benefit from positive externality of increasing their military expenditures (Callada-Muñoz et al., 2022, Rahman and Siddiqui, 2019, Dimitriou et al., 2025). Japan recently took this path by allowing for greater arms exports, as US Patriot missile components, to non-conflict affected territories. However, these achievements can only be met by very few ESCAP member States.

Finally, the security channel remains relevant. Indeed, higher military spending signals instability to foreign investors but can also attract investment by showing a credible defense posture in the context of regional threats (Dunne and Smith, 2020, Nugroho and Purwanti, 2021). For the Republic of Korea, high military spending coexisted with strong economic growth thanks to a favourable development environment: high returns on productive investment, rapid human capital accumulation, and strong catch-up potential through technology transfer. For example, Samsung and Hyundai developed capabilities through defense contracts. These factors can help to offset the negative effects that military expenditure have on growth but can also signal a threat that will deter investments.

### 1.2 Higher military expenditure hinders economic growth

**The weight of more recent evidence has shifted decisively toward a negative relationship between military expenditure and economic growth.** A meta-analysis of several studies between 1973 to 2013 finds that only 23% report a positive effect. The share of studies reporting a negative effect rose to 55% among those published after 2006 (Dunne and Tian, 2013). The meta-analysis of Simpartl (2024) estimates a fixed effects mean of -0.147, meaning that on average, a one-unit increase in military burden is associated with a 0.147 percentage point reduction in GDP growth. This reflects a post-cold war crowding out effect. It seems that after the highly militarized cold-war period, at least until 1980, military spending reduces the ability of a government to allow funds to growth-enhancing sectors.

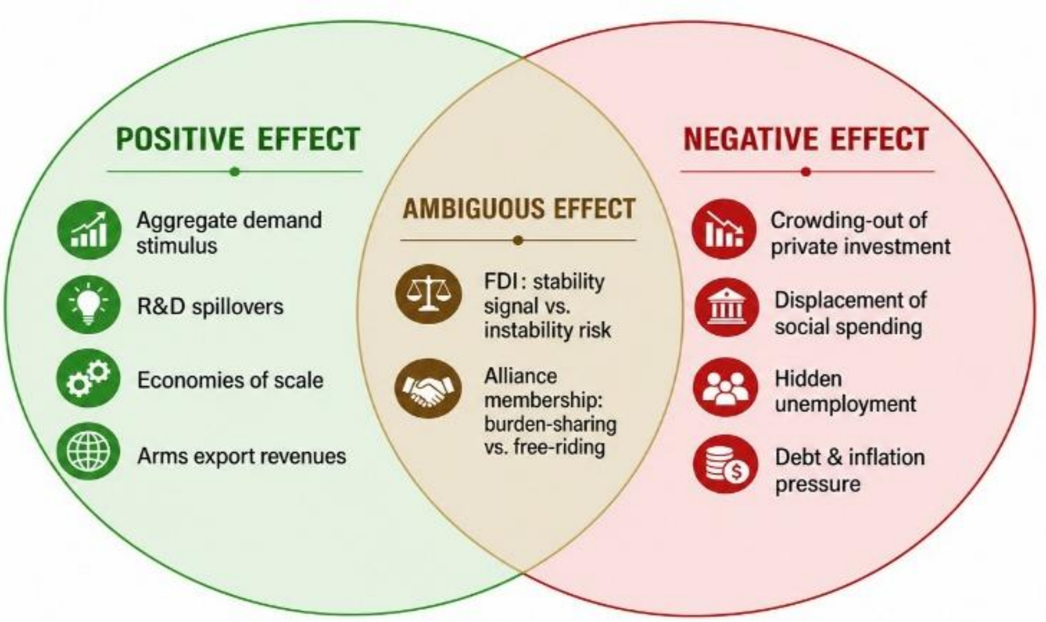
#### Pakistan: Defence Spending Under Fiscal Pressure

Pakistan illustrates the difficult trade-offs that military spending can impose on lower-income economies. In the 2025-26 federal budget, defence received 14.5 per cent of total government expenditure, while higher education and health were allocated only 0.2 and 0.1 per cent respectively (ISSI, 2025). With debt servicing consuming nearly half of total expenditure, every additional rupee allocated to defence directly competes with investment in human capital and social infrastructure. Unlike the Republic of Korea, Pakistan has not been able to translate its military expenditure into significant industrial or technological spillovers and remains as the top ESCAP arm importer in 2022-24 (0.41% of GDP), leaving the economy exposed to the crowding-out effect without capturing the offsetting benefits.

Beyond human capital, higher military spending can also crowd out private investment through the financing channel (Malizard, 2015). When governments fund defence increases by issuing bonds, they compete directly with the private sector for available savings. As public debt instruments offer perceived security and attractive returns, private investors may shift their funds away from productive business investment. This leaves firms with less access to capital precisely when economic dynamism is most needed.

The negative growth impact is also driven by personnel spending, rather than capital expenditure (Dimitriou et al, 2025), as personnel-intensive armies can hide unemployment issues (Becker and Dunne, 2021; Becker, 2021). Indeed, they can mask underlying unemployment problems by absorbing surplus labour into the military, without generating productive economic returns. This distinction is particularly relevant for lower-income ESCAP members, where rearmament is likely to be personnel-intensive given fiscal and industrial constraints. Alliance membership also matters: NATO partially buffers the negative effect through burden-sharing, whereas SCO and CSTO provide no equivalent offset (Dimitriou et al., 2024). Most ESCAP members belong to neither NATO nor any alliance with comparable burden-sharing mechanisms, leaving them more exposed to the full economic cost of rearmament.

Finally, Churchill and Yew (2018) showed that the negative effect is concentrated in lower-income countries, where military budgets tend to be financed through monetary expansion or debt, in already fiscally constrained economies. The case of Pakistan is especially relevant. They also often lack a strong




military industry which would allow them to benefit from R&D spillovers and arms exports. The most credibly identified estimate in the literature is provided by Saeed (2025) who used arms imports and the number of neighbouring states experiencing interstate violence as instruments[2]. As the regional environment is one of the main mechanisms at play within the Asia-Pacific tandem increase, the estimated effect of -1.1 pp[3] provides a useful benchmark for policy recommendations (UN SG Report, 2024).

[2] Using indirect statistical techniques to isolate causality.

[3] Meaning that an increase in military expenditure/GDP (military burden) of 1 percentage point reduces economic growth by 1.10 percentage points.

## The Cold War Arms Race: Two Models, Two Outcomes

The 1981 Reagan military expansion is frequently identified as a decisive factor in the Soviet Union's economic exhaustion and collapse. Indeed, it may have led the USSR to raise its military burdens to an unsustainable level in response. However, extensive analysis by Chernoff (1991) showed an already existing high military burden before 1981. Thus, the USSR collapse, while being fueled by lack of fiscal resources, was not a consequence of the US military policy.

Nonetheless, when considering the comparison of US and Soviet military burden, little literature exists. At the peak of the Cold War, this question was especially relevant but data was lacking. Indeed, very few reliable estimates, even nowadays, are available. This issue has several explanations. First, official numbers were falsified to protect Soviet interests. For example, in May 1989, during the Glasnost era, Gorbachev revealed that the real 1989 Soviet military expenditure level was three times higher than the falsified official one announced in 1988. Later, in his memoirs (1998), he disclosed that before his tenure, only three to four members of the Politburo were aware of the real defense figures. In addition to these secrets, the existing numbers and estimates were also rising issues. Indeed, the planned economy is structurally different from a free market one. Moreover, the purchasing power in rubles is difficult to compare to the dollar one as official price levels were manipulated. Indeed, the Soviet Union was benefiting from inexpensive access to such industrial goods and workforce, allowing them to transform a smaller budget (in constant USD) to more military equipment.

While being very heterogenous, some estimates existed. In 1975, a declassified CIA's report, later criticized by Lee (1995), gave a reliable lower bound to the Soviet military burden. Thus, while the United States and Soviet ones were similar (around 6% of Gross National Product), the Soviet defense sector accounted for 22% of production of machinery, against only 10% for the US. The working age population employed in the military and defense sector reached 6% in the USSR against 3% in the US, revealing a Soviet inclination to a highly militarized society. More recent estimates (SIPRI, 1998; Harrison, 2003) approximates it from 7.9% of GNP in 1980 to 8.4% of GNP in 1987.

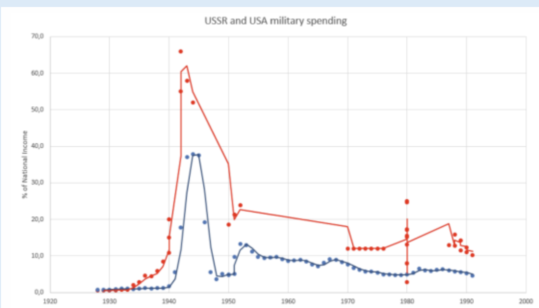
Finally, the most credible one come from Gorbachev own memoirs (1998) and indicates that military expenditure represented up to 40% of the state budget and 20% of the GNP in the 1980s. This represents a military burden twice as important as the US one, while the absolute military expenditure being broadly comparable after 1975 (Ricón, 2016).

Even based on the lower bound, the military burden was depriving socialist republics from needed investments while crowding out the workforce. Indeed, one CIA analysis (1975) points out that even if the defense sector helped the Soviet industry to develop electronics or nuclear power, the crowding-out of high grade scientific broadly reduced innovation. Limited exportation ability and market closedness also prevented Soviet innovations to be reproduced and commercialized in a growth-enhancing way. Thus, the military burden was unsustainably high while R&D spillovers were structurally too low to offset negative effects.

The United States maintained a military burden between 10% to 14% of the GDP during the 1950s, especially during the Korean war, before declining to approximately 5% during 1970s. As mentioned before, the 1981 Reagan military buildup reversed this trend, raising the military burden up to 6.81% of the GDP in 1982 (SIPRI, 2025). However, the net impact on growth was mixed. Indeed, Hou et al. (2025) analysed the 1972-2021 period and found that US military spending broadly constrained economic growth, except when looking at military R&D expenditure. Indeed, defense funded research generated civilian spillovers through technologies such as Internet, the GPS or semiconductors. This channel is empirically confirmed by Moretti et al. (2025), who estimate that over 1987-2019, a 10% increase in public military R&D generated a 4.3% increase in private R&D.

The contrast with the Soviet Union is particularly instructive. Indeed, both superpowers spent comparable amounts in absolute terms after 1975. However, the Soviet burden represented nearly twice the share of national income. First, some can suggest that the military burden effect on growth is non-linear, and negative after a certain threshold (Dunne and Makanza, 2019). Thus, an increase in military spending can harm more economic growth in the USSR than in the US. Moreover, it seems that the planned economy was less efficient in its ability of capturing R&D spillovers through commercialisation and exportation. It then seems that the economic cost of military spending depends on the institutional capacity to convert defense investment into productive civilian activity, a lesson directly relevant to some ESCAP economies.

An advised reader should keep in mind that such analysis is difficult to precisely assess nowadays. Indeed, while being high, the Soviet military burden also fueled the heavy industry, provided work to a large part of the population and promoted the fair allocation of highly-qualified workers while improving the human capital of less-qualified ones. Nonetheless, no one can dispute the crowding-out effect of such high military burden, especially on the investments the USSR needed to modernize its industry and innovation capacity in the late 1970s.



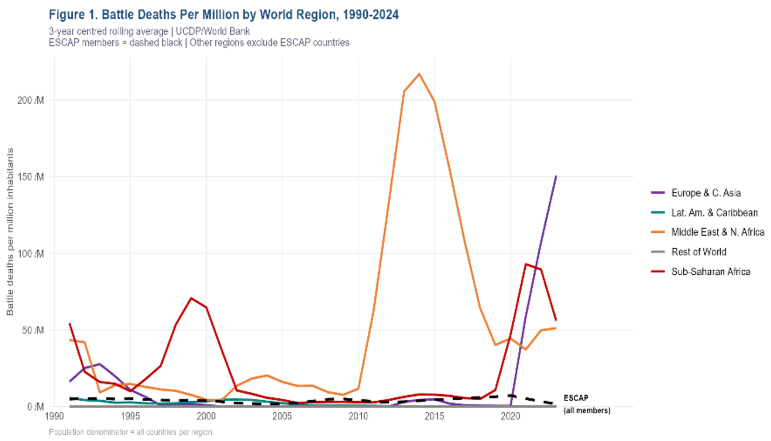

USSR and USA military spending (Ricón, 2016)

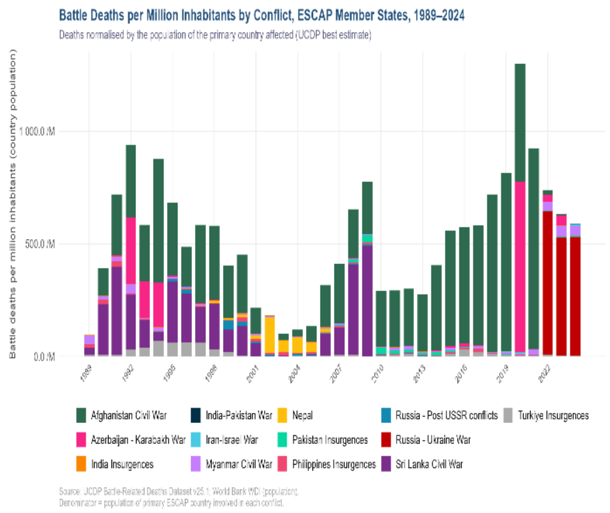
## 2. The Asia-Pacific has been a relatively peaceful region over the last decades

### 2.1 Lower conflict intensity compared to the rest of the world

**Asia and the Pacific enjoyed three decades of relative peace, allowing for a remarkable economic success, but this favourable environment is now under threat.** Since the 1990s, Asia and the Pacific have experienced a period of relative peace compared to the rest of the world. When measured by battle-related deaths per million inhabitants, ESCAP's member states systematically recorded lower values than other world regions average. To put this in perspective, while Sub-Saharan Africa and the Middle East suffered large-scale wars, most of Asia and the Pacific remained largely insulated from large-scale interstate violence. This does not mean that armed conflicts were absent, but rather that their human cost per capita was significantly lower than everywhere else.

This relative advantage is not uniform across the region. South Asia in particular is the theatre of repeated confrontations. India and Pakistan, both nuclear-armed states, sustained a chronic state of tension along their shared border, especially in the Kashmir region. Afghanistan endured decades of continuous conflict, from civil wars and international military presence until 2021 to an open conflict with Pakistan in 2026. As a result, the share of countries formally "at war", using the standard threshold of 1000 deaths a year (UCDP), has been the highest worldwide between 1990 and 2010. Yet, the intensity of violence in per capita terms remained lower than in other conflict-affected regions. Indeed, the share of ESCAP countries at war peaked at around 15 per cent in 1992, following the collapse of the USSR, and fell to as low as 3 per cent in 2018[4], while keeping the battle-related deaths per capita relatively constant. This broad trajectory of decreasing conflict exposure would prove to be one of the drivers of the region's economic success.




### 2.2 The benefits of the peace dividend

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[4] Author's calculations from UCDP data.

**The reduction in military burden that followed the end of the Cold War freed up fiscal resources that directly contributed to Asia-Pacific's growth miracle.** The end of the Cold War triggered what economists call a "peace dividend" meaning the economic gains that arise when governments reduce their military burden[5] and redirect those resources toward more productive uses. In practical terms, this means that money previously spent on weapons, soldiers and military infrastructure can now be used for health, education or public infrastructure but also private investment (IMF, 1996; Mayberry, 2023). Across Asia and the Pacific, this shift was substantial. Cambodia and Viet Nam, having emerged from devastating conflicts in the preceding decades, became two of the most dynamic and fast-growing economies in the region (Hill and Menon, 2014). The two corresponding figures illustrates how peace, once restored, can unlock remarkable economic potential.

From 1980 to 2014, the GDP-weighted military burden declined across ESCAP countries (Figure 2). The resource freed by this reallocation were redirected toward development-friendly investments. This period of declining military burdens broadly coincided with what is referred to as the region's "growth miracle", decades of exceptional economic expansion and development that greatly reduced poverty (World Bank, 1993; World Bank, 2013).

The correlation between declining military burdens and rising growth rates across ESCAP countries is visible in the data (Figure 3). Indeed, periods of falling military burden track closely with periods of GDP-weighted USD-constant growth. A clear pattern emerges for both the 1980-1991 and 1992-2014 periods: as military burdens fell, GDP growth accelerated. Even if this correlation is not sufficient to establish a clear causality, as multiple structural factors and global financial crisis[6] affect growth, it remains consistent with the theoretical prediction that higher military spendings crows out resources from higher-return investments (Dunne and Tian, 2013; Simpartl, 2024). However, after 2008, the military burden and economic growth trends became both unsignificant, meaning that when the military burden is not decreasing, economic growth is as well no longer increasing. This effect can have various explanations and is heterogenic between countries.

### Japan: An example of the peace dividend in Asia-Pacific

Japan illustrates how low military burdens can underpin exceptional economic performance. Following the Second World War, Japan adopted a strictly defensive security posture, and in 1976 formalized a cap at 1% of GNP (later shifted to GDP). Benefiting from the US security umbrella, Japan directed these freed fiscal resources toward industrial investment, technological upgrading and human capital formation. A low military burden was a permissive condition for the miracle.

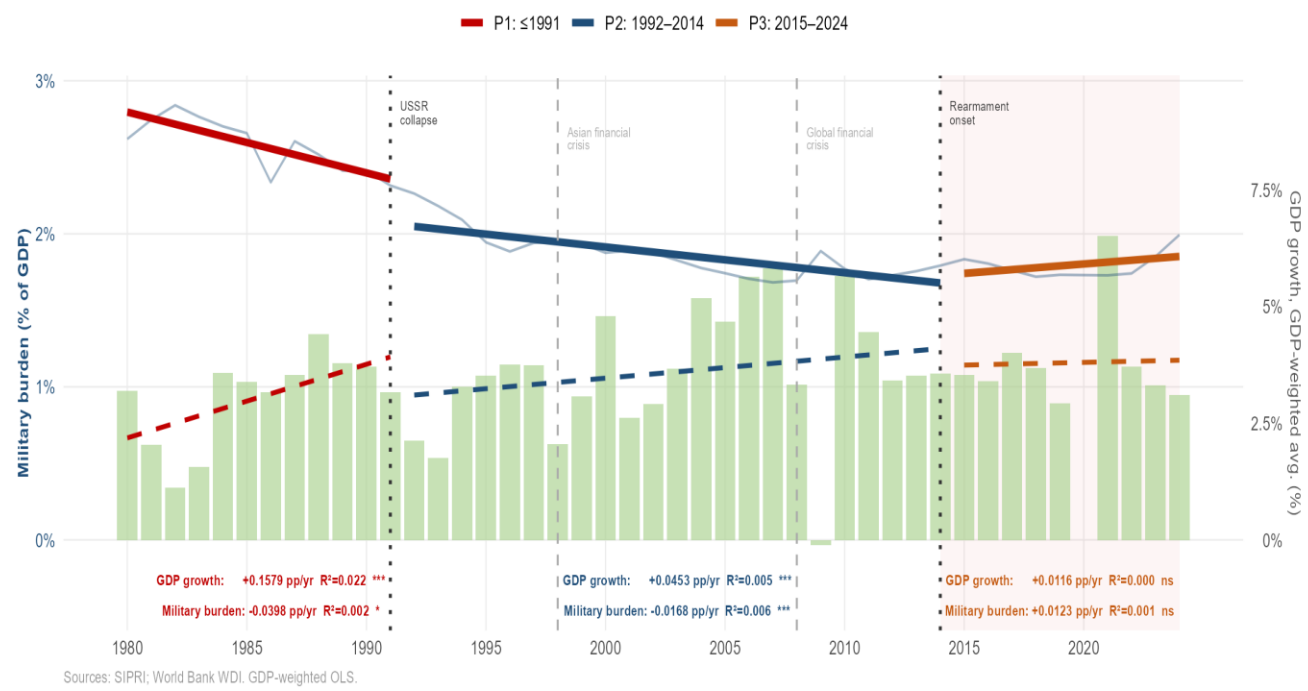
This settlement is now being reversed. Driven by concerns over rising tensions in the South China Sea, North Korea's missile program and Russia's invasions of Ukraine (2014 and 2022), the 1% norm was progressively abandoned from 2017 onwards. In December 2022, Prime Minister Kishida committed to raising national-security related spending to 2% of GDP by 2027. With public debt exceeding 250% of GDP and accelerating demographic ageing, higher defense spending will inevitably compete with social protection and productive investment. This position has been supported by PM Miki, which relaxed the 1976 Japanese ban on defence equipment exports in order strengthen the country's civilian industries and technological capabilities (Wallace, 2026).

The historical cases of Japan and the Republic of Korea are instructive in this regard: the first maintained low military burdens, in part under the United States security umbrella, and channeled the freed fiscal resources into the industrial and technological investment that drove their postwar growth trajectories. The Republic of Korea, facing geopolitical tensions, maintained a high military burden and economic growth levels thanks to its high potential for catch-up from technology transfer, which onset the depressing effect of military expenditure (Dunne and Smith, 2020).

[5] Known as the military expenditure as a share of GDP.
[6] As the 1998 Asian Financial Crisis and the 2008 Global Financial Crisis.

Figure 3. Military Burden and GDP Growth - Three-Period OLS

GDP const. USD-weighted ESCAP average | Solid = Military burden OLS | Dashed = GDP growth OLS | Green bars = GDP growth

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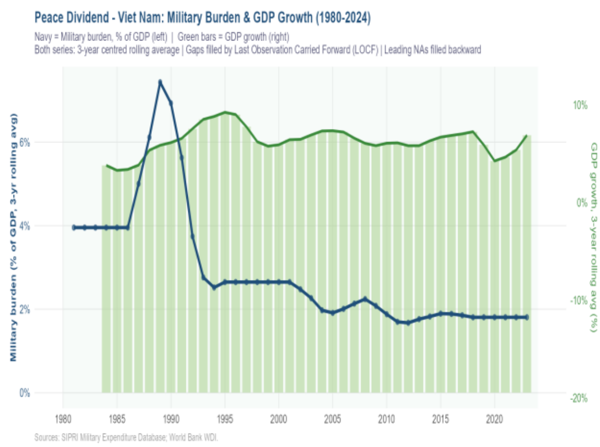
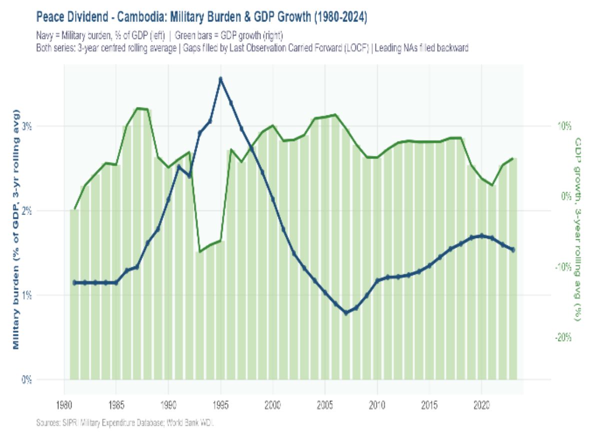


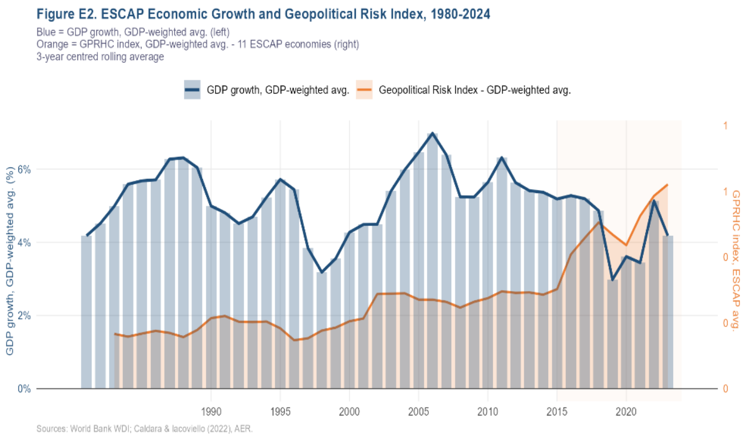

### 2.3 The return of military spending since 2008

**Driven by a combination of the 2008 global financial crisis, which altered the geopolitical calculus of major powers, and the intensification of territorial and maritime disputes across the region, the peace dividend began to erode.** The peace dividend did not last indefinitely. Indeed, military expenditure as a share of GDP stabilized across most ESCAP countries after 2008 and resumed an upward trajectory after 2014 (Figure 2). This militarization of the region has led to years of consecutive increase of military expenditure since 2014 and its highest level since the Cold War (SIPRI, 2025). This rise can be explained by

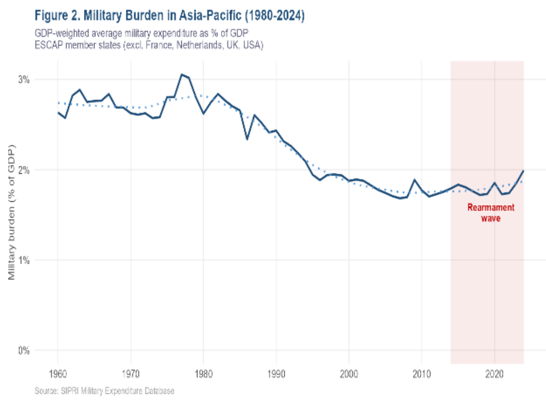
[7] Year 2020 is excluded from the analysis.

Russia's annexation of Crimea, the intensification of South China Sea disputes and renewed tensions in the Korean Peninsula.

Within the Asia-Pacific, this resurgence is not occurring in isolation. The United Nations Secretary-General's report (2024) documents an action-reaction dynamic in East and South-East Asia that has been observable since 1989: one country's increase in military expenditure leads to similar responses from its neighbors. This dynamic of consecutive increases generates an upward spiral in regional spending which is globally welfare-reducing (Skogstad, 2016). Due to ongoing conflicts and geopolitical tensions in Myanmar, currently experiencing a civil war, between Pakistan and India and disputes in the South China Sea, the Asia-Pacific region is becoming one of the global hotspots, notably alongside Ukraine and the Middle East (ACLED, 2026). The Philippines offers a telling illustration of this dynamic: facing mounting pressure in the South China Sea, Manila launched its Re-Horizon 3 military programme in 2024, committing up to USD 35 billion over the next decade. Already facing an annual deficit of over 5 per cent of GDP, this expense could reduce the already limited fiscal space available.




The geopolitical risk index (Caldara and Iacoviello, 2022) (Figure 4) allows us to represent these rising geopolitical tensions within ESCAP countries. Indeed, this index use the occurrences of specific words as "war" or "threat" within North American and UK newspaper to proxy the rise in geopolitical risk for a given country or world region. Computed from the available database[8], the GPR Index is represented alongside the GDP-growth weighted average for ESCAP countries. As we can see, the post-2014 increases within the region closely tracks a relative deceleration in regional GDP growth, suggesting that rising geopolitical tensions are already leaving an economic footprint.




This shift carries significant opportunity costs. The annual financing gap for the Sustainable Development Goals stands at USD 4 trillion globally, while military expenditure alone has already reached USD 2.718 trillion. For Asia-Pacific governments, already facing fiscal pressures from demographic ageing and the urgent need to accelerate structural transformation, every dollar reallocated toward defense is a dollar not invested in sustainable long-term growth.

## 3. Empirical Analysis: Evidence from ESCAP Countries

[8] Using available data for Japan, New Zealand, Singapore, Türkiye, Republic of Korea, Russia, Pakistan, India, China and Australia.

### 3.1 An unconclusive but relevant aggregate result

**Taken as a whole, the ESCAP region does not yield a single clear verdict on the effect of military spending on growth.** Using a Two-Way Fixed Effects regression on ESCAP countries between 1993 and 2024[9], the found estimated effect of military burden on GDP growth is negative but non-significant, with a coefficient of -0.122 and an explanatory power of 17.9%[10]. This means that, on average, a one percentage point increase in the military burden is associated with a 0.122 percentage point reduction in GDP growth. To put this in perspective: for a country growing at 5 per cent per year, this would imply a reduction to approximately 4.88 per cent if the military burden rose from one percentage point. However, this result is not statistically significant enough to be conclusive on its own but leaves insightful clues about the crowding-out effect of the military burden.

This ambiguity is not a failure of the analysis. It reflects the profound heterogeneity of the ESCAP region, which encompasses economies as different as Singapore and Tajikistan, Australia and Myanmar, Japan and Afghanistan. These countries differ in their industrial structures, income levels, institutional capacities, security environments and degrees of integration into global trade and financial markets.

Thus, our unconclusive result appears consistent with the literature. Some countries may benefit from defense-related industrial activity, while others face severe crowding-out with no offsetting gains. When these opposing effects are averaged together across the full sample, they partially cancel each other, which produces the unsignificant aggregate result observed. The following sub-sections disaggregate the results by arms export status and conflict exposure to explore the growth-military burden nexus.

### 3.2 Arms exporters vs non-exporters: when the defense sector offsets its own cost

**The negative effect of military spending on growth is concentrated among countries that do not export arms. For major exporters, the defense sector generates enough industrial activity to absorb its own fiscal cost.**

A clearer picture emerges when countries are distinguished by their arms export intensity. Each year, countries are classified as top 20% ESCAP arms exporters if their TIV/GDP[11] ranks in the top quantile, using a three-year rolling average to smooth differences[12]. Then, an interaction term between the military burden and the "top exporter" [13] category allows us to explore the difference in the effect between major exporters and others.

The results are striking. For countries that are not major arms exporters, the majority of ESCAP members over the period, a one percentage point increase in the military burden is associated with a statistically

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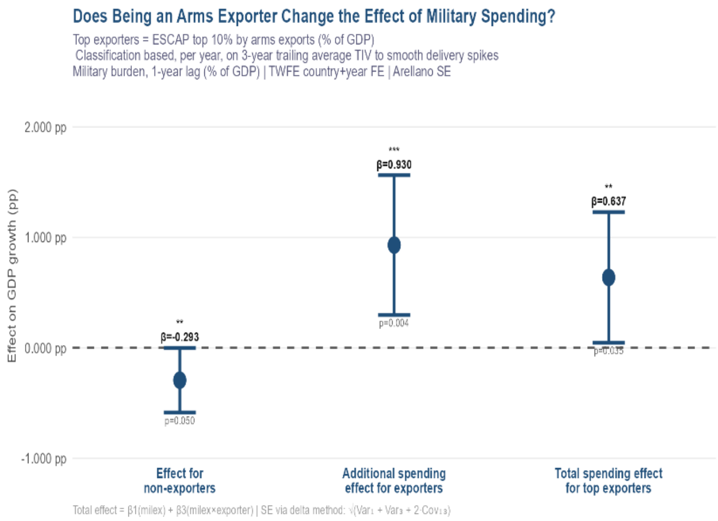
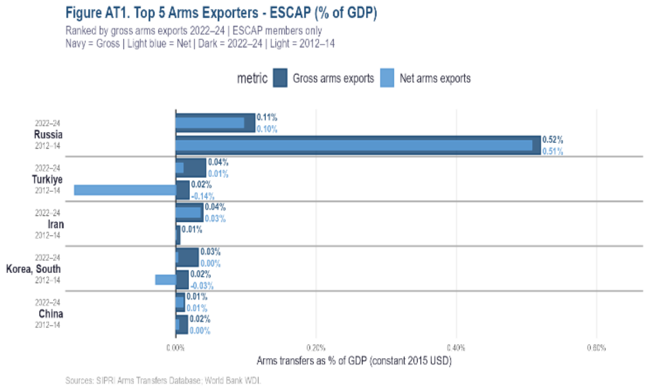
[9] Methodological explanations and econometric specification are available in the appendix.
[10] The within R-squared being 0.179, 17,9% of the temporal variation in each country is explained by the model.
[11] SIPRI Trend Indicator Values being a standardised measure of the volume of weapons transferred.
[12] The fact that country can enter and leave the top 20% allows to avoid perfect collinearity with country fixed effects.
[13] Countries included at least 8 years over the 1993-2024 period are: China, Russia, Rep. of Korea, Singapore, Türkiye, Kyrgyz Republic, Uzbekistan, Kazakhstan and Georgia

significant decrease of 0.293 percentage points in GDP growth. This is a meaningful economic penalty. By contrast, for countries that are top arms exporters, the same increase in military burden carries a 0.930 percentage points increase in GDP growth compared to the non-exporters effect (Column 2 of Figure 5). This finally results in a 0.637 percentage points increase in GDP growth for major exporters countries that increase their military burden by one percentage point.




This indicates that the crowding-in mechanism operates as the theoretical literature predicts (Callada-Muñoz et al., 2022, Rahman and Siddiqui, 2019, Dimitriou et al., 2025). Indeed, the defense sector in these economies generates sufficient industrial spillovers, economies of scale in weapons production, and export revenues to totally offset and even overcome the fiscal cost of higher military spending. Thus, not only arms export neutralizes the cost of rearmament, but it does turn it into an economic asset for greater militarization.

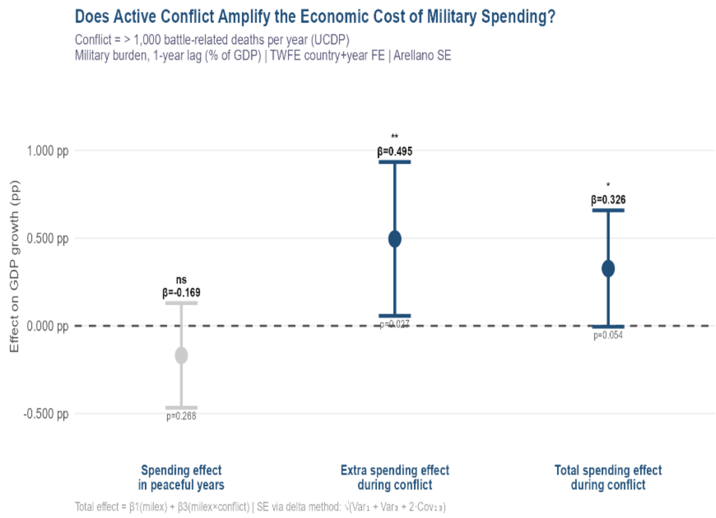



### 3.3 Conflict-affected countries

**In countries already at war, military spending does not harm growth and helps stabilise the security environment and sustain domestic demand when private economic activity has collapsed.** A separate and important pattern emerges for conflict-affected countries[14]. Being in active conflict is itself associated with a severe reduction in GDP growth, reflecting the broad disruption that war inflicts on supply chains, investment flows, trade and economic confidence (Aziz and Khalid, 2019). In concrete terms, armed conflicts deeply disturb the normal functioning of an economy: businesses close, workers flee, infrastructure is destroyed, and foreign investors withdraw. As an example, poverty rates have almost doubled from 24.8 percent in 2017 to 49.7 percent in 2023 in Myanmar due to the ongoing civil war (UNDP, 2024).

[14] Included countries are: Afghanistan, India, Sri Lanka, Pakistan, Türkiye, Russia, Myanmar, Nepal, Philippines, Azerbaijan, Tajikistan and Georgia.

Within this already difficult context, the effect of military spending itself changes. As shown in Figure 7, during peaceful years, a one percentage point increase in the military burden is associated with a non-significant decrease of 0.169 percentage points in GDP growth. However, during conflict years, the picture reverses. The extra spending effect during conflict is positive and statistically significant at the 5 per cent level, estimated at 0.495 percentage points (compared to peaceful years), producing a total spending effect during conflict of 0.326 percentage points, significant at the 10 per cent level.




Two complementary mechanisms explain this reversal. First, higher military spending in conflict settings can help stabilise the security environment by funding armed forces, securing trade routes and protecting civilian infrastructures. This allows to restore a degree of confidence among businesses and investors. Second, defense expenditure generates immediate domestic demand through personnel wages and procurement from local suppliers, which can partly offset the contraction of the private sector. When private economic activity collapses due to insecurity, government military spending becomes one of the few remaining sources of domestic demand.

However, this stabilising effect operates only conditional on conflict already occurring: it does not imply that higher military spending prevents conflicts from breaking out in the first place. Indeed, even if a deterrence effect can be observed, sharp increases in military spending yield only modest gains (Benmelech and Monteiro, 2025). Thus, the core message remains: for the vast majority of ESCAP countries not currently at war, the costs of higher military spending are real and not offset by compensating mechanisms. Higher military spending is only growth-positive when a country is already paying the far greater cost of an active conflict.

## 4. Policy recommendations

### 4.1 Develop differentiated strategies for arms-importing and arms-exporting economies

**The economic cost of military spending depends critically on whether a country has a domestic arms industry.** Empirical evidences reveal a sharp asymmetry between ESCAP countries that are substantial arms exporters, as Russia, Türkiye, Rep. of Korea, Iran, China and the others. First, their exports of arms, as a share of their GDP, increased since 2012-2014, except for Russia and China due to international sanctions on Russia. Even if this decrease is substantial, they still appear among the top 5 countries within ESCAP for which the arms exports contribution to GDP is the highest. Thus, they appear able to maintain economic growth alongside higher military burdens, as the defense sector generates sufficient industrial spillovers and export revenues to absorb the fiscal cost. On the other hand, net importers bear the full crowding-out effect without these offsetting mechanisms. Then, for arms net-importing economies, especially the ones without an important military-industrial complex, the priority should be to minimize the cost of defense spending and especially rely on non-personnel related domestic military expenditures. On the other hand, for economies with a clear defense industrial capacity, the military burden can be partially increased. They must invest in the civilian innovation ecosystems as universities, technology transfer mechanisms, and start-up ecosystems, that are capable of absorbing and commercialising defence-generated knowledge. Contingent on the existence of a domestic innovation ecosystem capable of absorbing such spillovers, these investments can reduce the long-run cost of higher military burdens through R&D spillovers and increased exports. However, these conditions are met by only a small number of ESCAP member states, and claims of R&D spillover benefits should not be used to justify a global increase in military expenditure across the Asia-Pacific region.

### 4.2 Develop differentiated strategies for conflict-affected countries

**Preventing conflicts is the single most effective growth-enhancing policy available. For countries already at war, higher military spending can help stabilise the economy.** Armed conflicts carry a severe and well-documented economic penalty, disrupting supply chains, deterring foreign investment, destroying infrastructure and undermining the confidence of both businesses and households. Security instability and the inability of a government to maintain territorial integrity not only harm domestic economic activity directly, but also signal to foreign investors that the local environment is too risky to commit capital. The overall effect of conflict on economic growth is therefore always negative, and conflict prevention must be regarded as a first-order economic priority. However, for countries already engaged in an active conflict, the empirical results suggest that increasing the military burden can generate a positive effect on GDP growth. Higher defense spending in this context operates through two channels. On the demand side, military expenditure creates direct stimulus through personnel wages and procurement of goods (weapons, food, clothing). This demand shock allows to sustain domestic economic activity even if the private sector demand has collapsed. On the security side, a stronger military posture can help stabilise the conflict environment, protect trade routes and civilian infrastructure, and gradually restore the conditions needed for private investment to return. Conflict-affected ESCAP governments should therefore increase their military burden, if necessary, while simultaneously pursuing diplomatic solutions. Indeed, the economic recovery ultimately depends on the restoration of peace, not on high defense spendings which can only partially offset the negative economic effects of conflicts.

### 4.3 A global de-escalation of the military burden: the major regional powers duty

**Military spendings in the Asia-Pacific rise in tandem across countries. This upward spiral is largely driven by the choices of major regional powers, whose actions carry consequences for the entire region.** The action-reaction dynamic documented throughout this paper is not symmetric: it is led by the military build-up of major regional powers, including China, Russia, India, Iran, Pakistan and Türkiye. These countries set the pace of regional rearmament, and their decisions cascade through the security calculations of smaller neighbours. However, these countries are also, except for India and Pakistan, major arms exporters. This means they benefit from rising regional tensions: higher domestic military spendings expands their own defense industries and international demand for arms exports. Rising geopolitical tensions are then economically advantageous for these exporters. However, this advantage comes at a significant collective cost. As major powers drive up the regional military burden, smaller and lower-income ESCAP members are compelled to follow, diverting fiscal resources away from education, health, infrastructure and the investments needed to meet the Sustainable Development Goals. Evidences show that a higher military burden might deter and reduce conflicts within the region. However, this impact is relatively weak but also lead to a higher cost of war, casualties and greater economic destruction, even for countries engaged in commercial relationships with arms exporters. Preventing the rise in geopolitical tensions and militarization is therefore not only a security issue but also an economic one.

#### 4.4 Foster cross-border defense-industrial partnerships to prevent unilateral military escalation

**Industrial interdependence in defense makes conflict between partners less likely to occur. When financial and industrial interests are shared, military threats become economically irrational.** Major ESCAP arms exporters capture industrial spillovers, export revenues and economies of scale that offset the cost of higher military burdens. However, importers fully bear the crowding-out effect. As exporters face no economic penalty for rearmament, the rational choice would be to sustain military burdens escalation to fuel their arms exports, which can increase the amplitude and associated damages of future conflicts. One solution would be to build industrial partnerships in order to enhance interdependence. This would allow to decrease the incentive but also the ability of one partner to unilaterally increasing its military operations within the region. This logic is not new: the European Coal and Steel Community, established in 1951, made Franco-German confrontation structurally impossible by pooling the raw materials from which weapons are made. Governments should promote a similar framework for the Asia-Pacific, through joint agreements, co-development programmes and shared production in order to link countries military-industrial interests. Thus, agreements as the Malaysian and Korean (Rep. of) one, Malaysia being a regional maintenance hub for the FA-50 aircrafts, should be reproduced by other ESCAP member states. For example, Central Asian and Pacific Islands states hold significant deposits of rare earth elements and strategic metals. Then, they could be potential economic partners, through binding agreements, with exporters states. Indeed, formalised supply, technology-transfer agreements and joint research projects allow to build a framework where military threats between partners becomes economically irrational.

#### 4.5 Leverage public-private partnerships in defense to generate civilian spillovers and limit fiscal crowding-out

**Public-private partnerships in defense can draw private capital, rather than displacing it, and generate civilian innovation.** Military spending can crowd out productive investment through a financial channel. When governments issue debt to fund defense increases, they absorb private savings that would otherwise flow into productive investments. This removes capital from the economy, which can affect economic dynamism in resources-scarce environments. By making private firms and universities active participants in defense investments, public-private partnerships can break this logic. Indeed, rather than being displaced by public spending, private capital enters the defence sector voluntarily and co-finances research and development. Thus, the resulting technologies diffuse into civilian industry through commercialisation rights. The Republic of Korea illustrates this model most concretely. For example, Samsung has entered the defence sector, turning military spending into industrial upgrading. ESCAP members should then promote joint research agreements between defense ministries, universities and private conglomerates in order to foster spillovers from the military to the civilian sector. The Asian Development Bank could then extend this model further by establishing conditional financing solutions for dual-use technology partnerships.

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## Appendix :

### 1. Methodological Note

**Empirical specification**

The regression analysis covers ESCAP member states over the period 1993-2024, while descriptive analysis extends back to 1980. The baseline empirical specification, used by Bishnoi and al. (2025) and Dimitriou et al. (2024), is a two-way fixed effects (TWFE) panel model of the following form:

$$GDP_{growth_{it}} = \alpha_i + \lambda_t + \beta \times milex_{i,t-1} + \gamma' X_{it} + \epsilon_{it}$$

where $GDP_{growth_{it}}$ denotes the GDP growth rate (constant USD 2015) of country i in year t; $\alpha_i$ are country fixed effects, absorbing all time-invariant heterogeneity across countries; $\lambda_t$ are year fixed effects, capturing common global shocks; $milex_{i,t-1}$ is the military burden lagged by one period; $\beta$ is the coefficient of interest, capturing the within-country effect of a one-percentage-point change in the military burden on growth the following year; and $X_{it}$ is a vector of time-varying control variables.

The use of a one-period lag on the military burden is motivated by reverse causality concerns: contemporaneous GDP growth may mechanically affect military burden, and a country experiencing a growth shock may simultaneously revise its defence allocations. Lagging the key independent variable by one year breaks this simultaneity and provides a cleaner identification of the direction of causation from military expenditure to growth. As a robustness check, results using the contemporaneous value of the military burden were also used: the sign and significance of the main coefficient are unchanged.

**Control variables**

The set of controls follows the standard approach in the panel growth literature, as applied in Saeed (2025), and draws on the theoretical frameworks of Barro (1991). It includes: gross savings as a share of GDP, as a proxy for gross capital formation and the investment channel; trade openness, measured as the sum of exports and imports as a share of GDP; the inflation rate, capturing macroeconomic stability; net foreign direct investment inflows as a share of GDP; population growth; and a binary conflict indicator equal to one in country-years where battle-related deaths exceed 1,000, following the UCDP operational threshold for war. We also control by the total natural resource rents, defined as the sum of oil, natural gas, coal, mineral and forest rents as a percentage of GDP. It allows to isolate the effect of military expenditure from resource-driven growth dynamics. Standard errors are clustered at the country level, allowing for arbitrary serial correlation and heteroskedasticity within countries over time (Arellano, 1987).

A log-transformed, one-period lagged GDP per capita (constant USD 2015) was added as a conditional convergence term, following the approach of Barro (1991), which predict that countries further from their steady-state income level tend to grow faster. The coefficient associated is negative and highly significant, meaning that a country with a higher GDP per capita experience a smaller annual growth rate.

All the variables are collected from the WDI World Bank.

**Sample construction and exclusions**

The analytical sample covers ESCAP member states over 1993-2024. Indeed, several ESCAP countries did not officially exist prior the collapse of the USSR, which would result in an unbalanced panel. Moreover, the cold-war effects of the military burden on the economic seem different from the contemporaneous ones. The year 2020 is excluded throughout all GDP-based regressions, given the mechanical distortion introduced by the COVID-19 shock on both growth rates and the military burden ratio.

Among the remaining ESCAP member states, several countries could not be included in the analysis due to data limitations. Bhutan, Maldives, Samoa, Solomon Islands, Tonga, Vanuatu, and the Democratic People's Republic of Korea are entirely absent from the regression sample, as no usable observations on military expenditure are available for these countries over the sample period. Four additional countries present in the descriptive analysis are effectively marginal in the regressions due to the high proportion of missing observations on the military burden: Turkmenistan (81 per cent of country-years missing), Uzbekistan (68 per cent), Afghanistan (43 per cent) and Viet Nam (43 per cent).